Creative destruction and the death of firms

Every firm constantly tries to adapt to the changing world of what consumers want and what technology makes possible. Every firm peers into the future, and speculates about the kinds of products and production processes that will prove to be profitable. Some firms will always make mistakes in this speculation and go out of business. Their departure frees up labour and capital that can go to more productive firms.

When a firm goes out of business, we feel a certain sorrow about its departure. But a key idea of economics is that birth and death of firms is healthy and desirable. The great economist Joseph Schumpeter termed this process ‘creative destruction’.

In India, we have traditionally felt that all firm failure is a bad thing. As Montek Ahluwalia says, the very phrase ‘sick company’ suggests the need for a hospital to nurse it back to health. We need to shift gears, and marvel at the process of creative destruction. There is a great circle of life, and both firm creation and firm destruction are required for a sound ecosystem of firms.

For this to work properly, we require a well-functioning bankruptcy process. In this, the key distinction is between firms with valuable organizational capital and those without. [2]

Some firms possess value in their organizational capital. They are sound as a going concern; they just need to be refinanced through a new financing package where the erstwhile owners and creditors take a loss. As an example, European telecom companies overbid in spectrum auctions. Many companies were not able to service their debt. But they were sound organizations, and the bankruptcy process found value in the organizations. The bankruptcy process imposed a 100 per cent loss upon shareholders, a large loss upon creditors, and recreated a new all-equity ownership structure which preserved organizational capital. Customers of these telecom companies experienced no interruption of service when the old firms were